FRANCK PORTIER
2016-2017

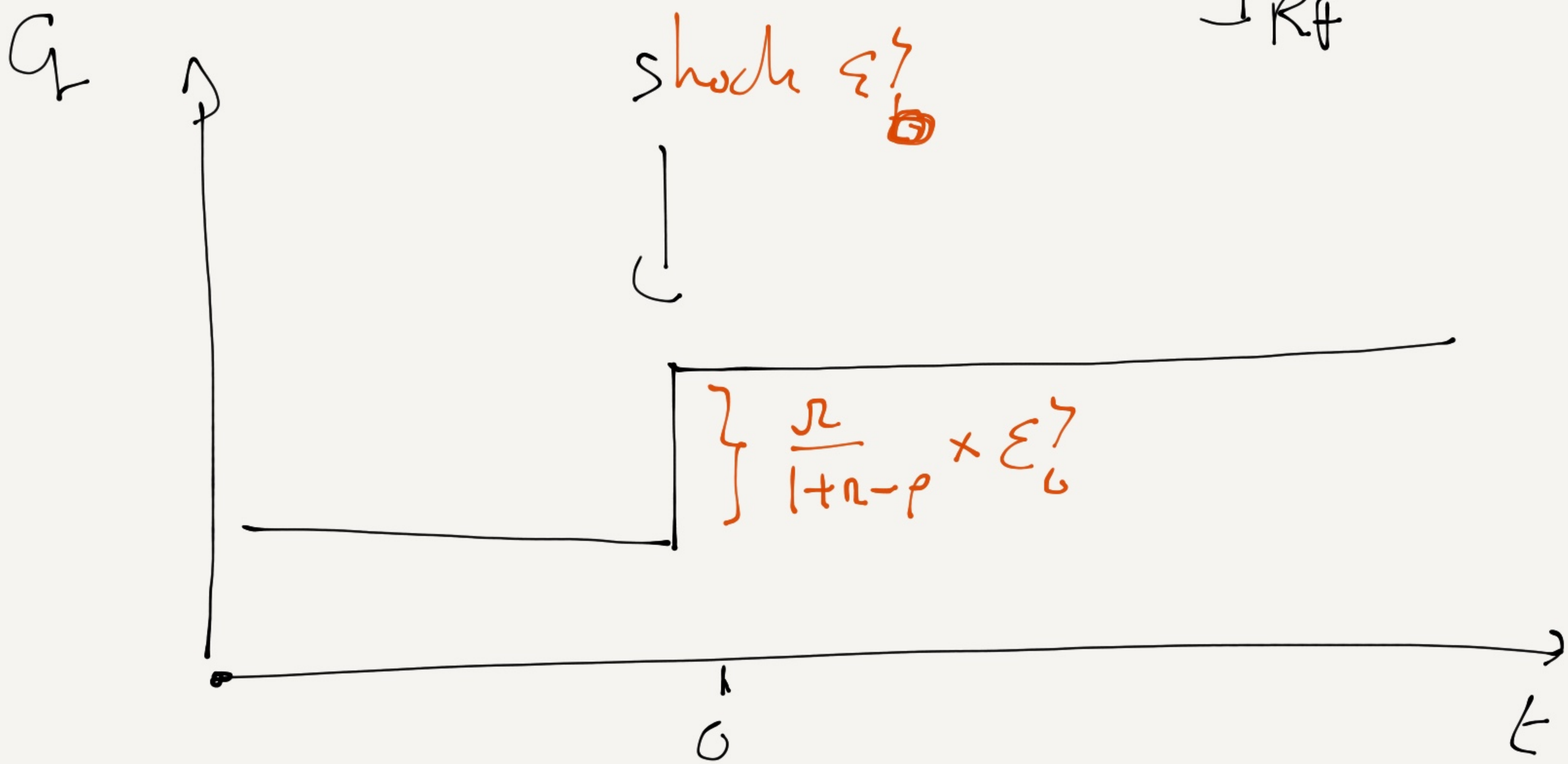
M1 MACRO
Group A
Session 12

These notes are written during class. They are posted "for the record" and may content mistakes. They are not intented to be read by anyone that did not attend the class.

$$c_t = c_{t-1} + \frac{r}{1+r-\rho}\,\varepsilon_t^y$$

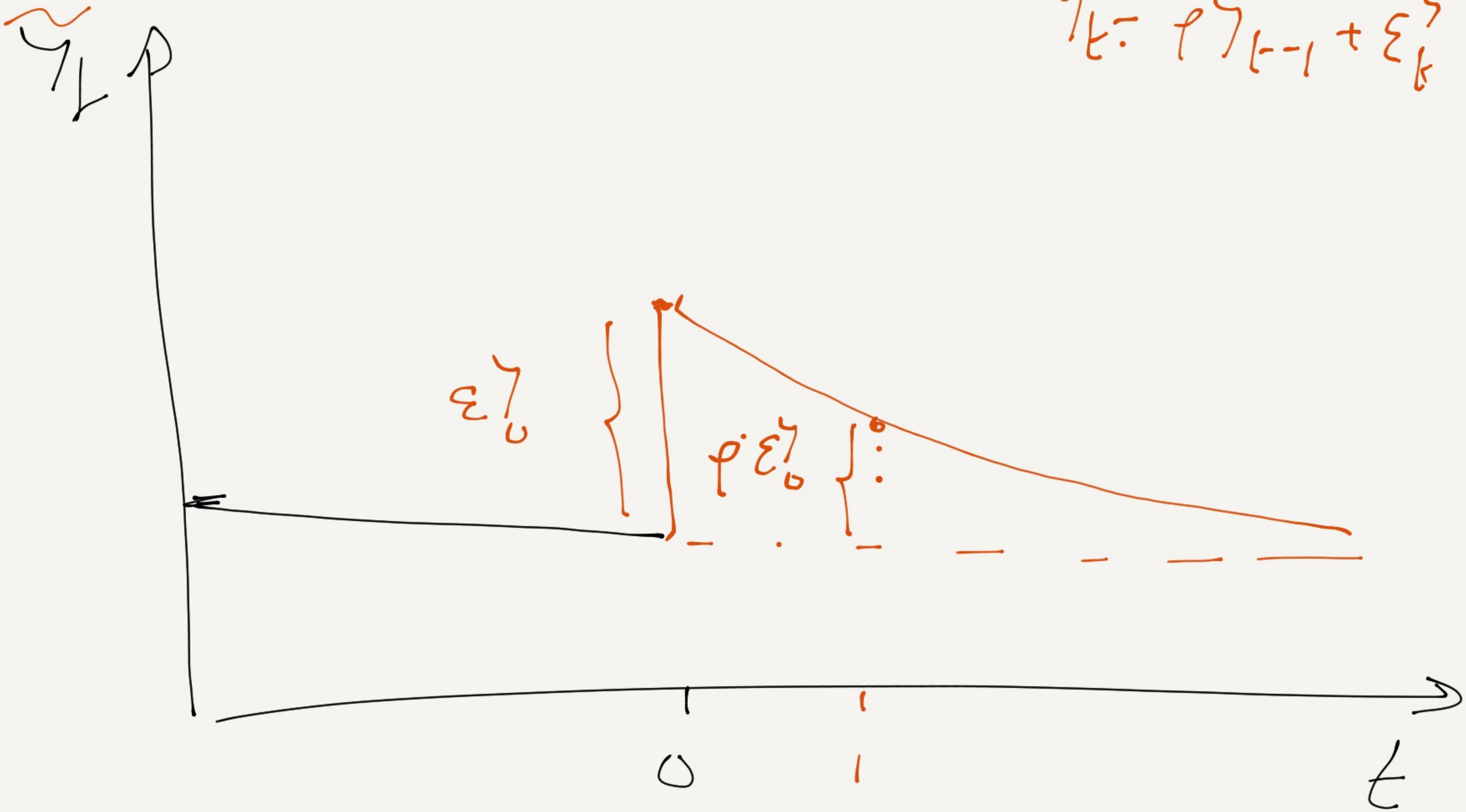
Response of c_t to ε_t^y (Impulse Response Function)

IRF



IRF of $\tilde{y}_t$ to ε^y_0

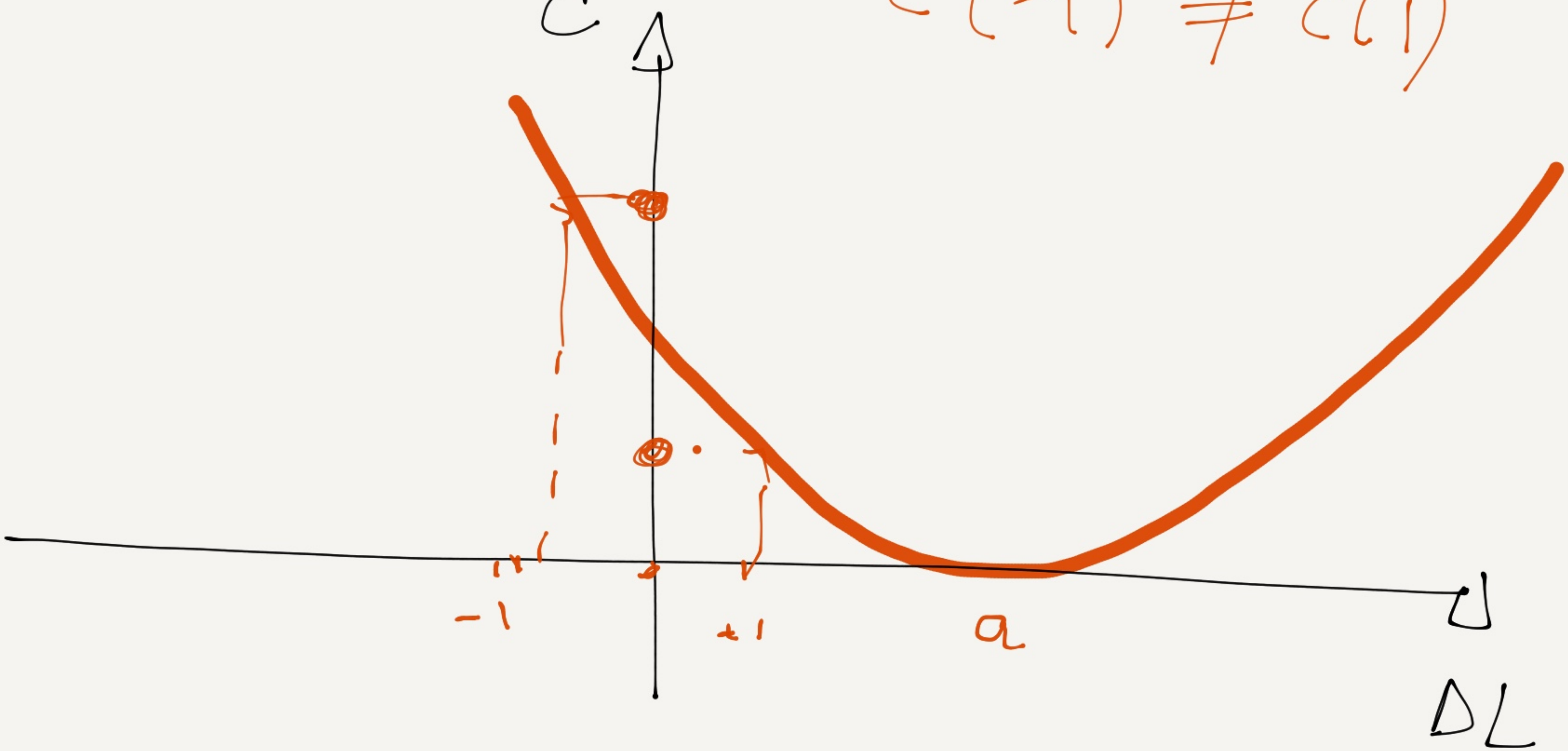
$$\tilde{y}_t = \rho \tilde{y}_{t-1} + \varepsilon^y_t$$



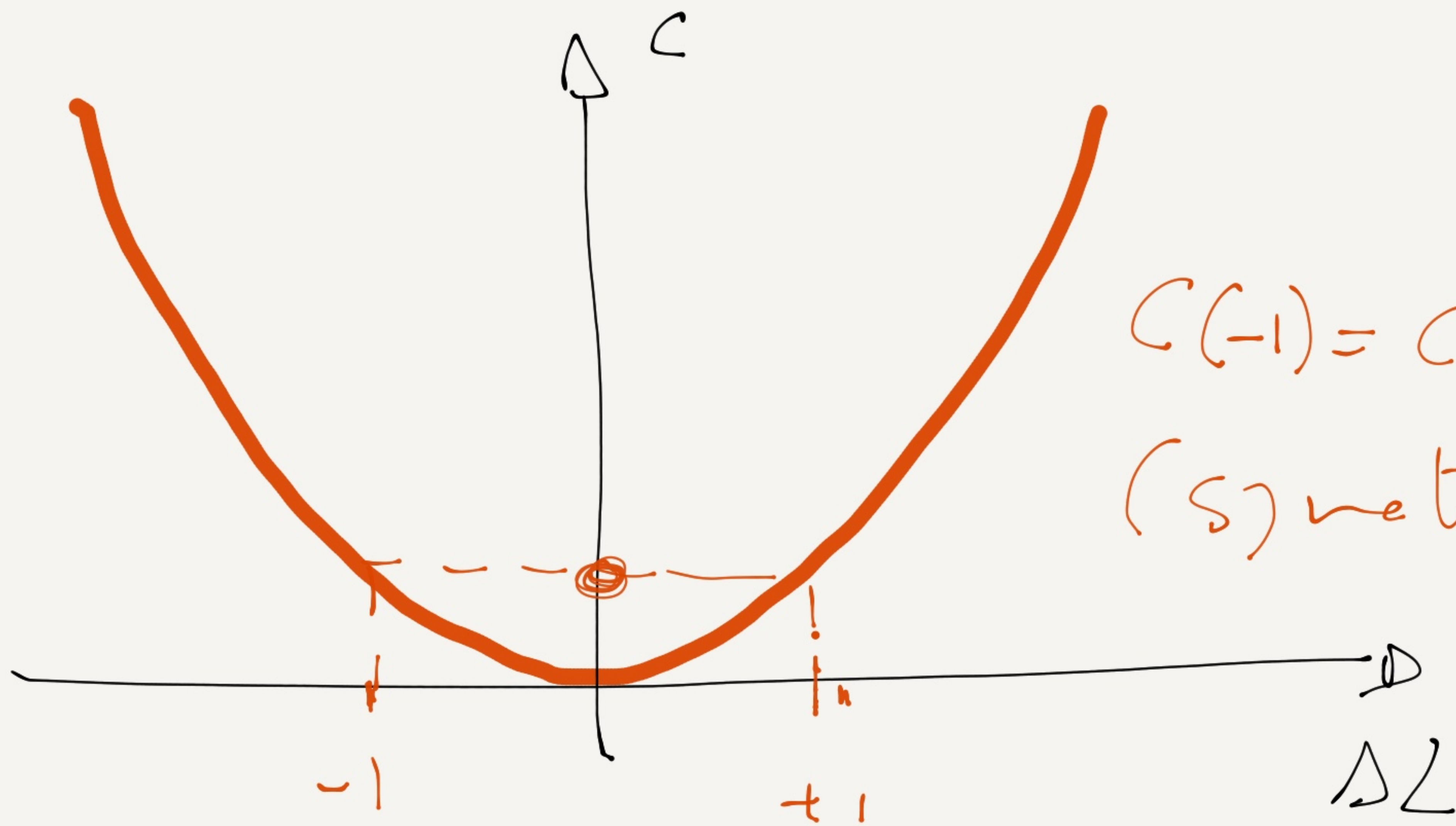
Adjustment cost to labor

$$C(\Delta L) = \frac{b}{2}(\Delta L - a)^2$$

$C(-1) \neq C(1)$



- $C(\Delta L) = \frac{b}{2}(\Delta L)^2 \quad (a = 0)$

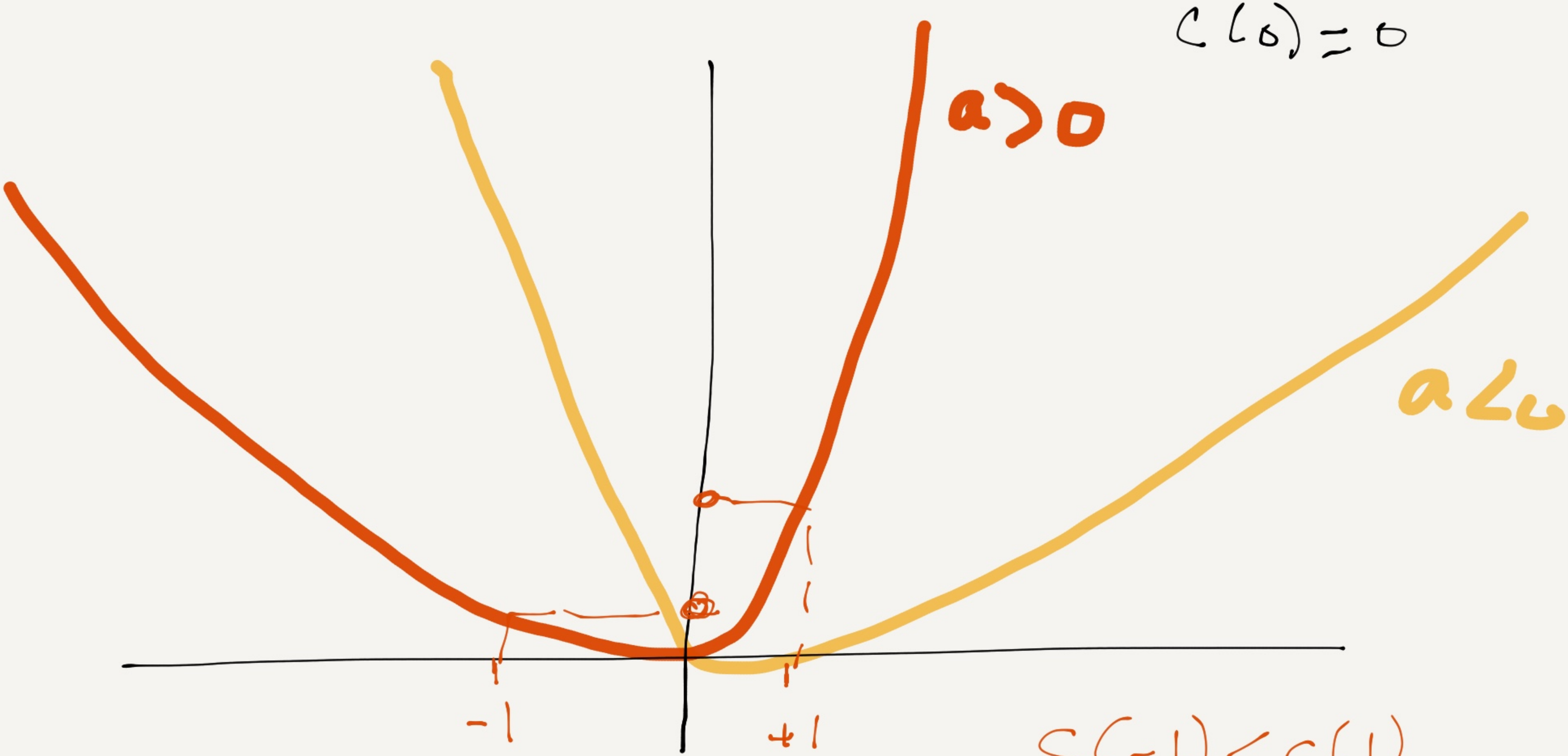


$C(-1) = C(1)$

(symmetric)

$$c(\Delta L) = -1 + e^{a\Delta L} - a\Delta L + \frac{b}{2}\Delta L^2$$

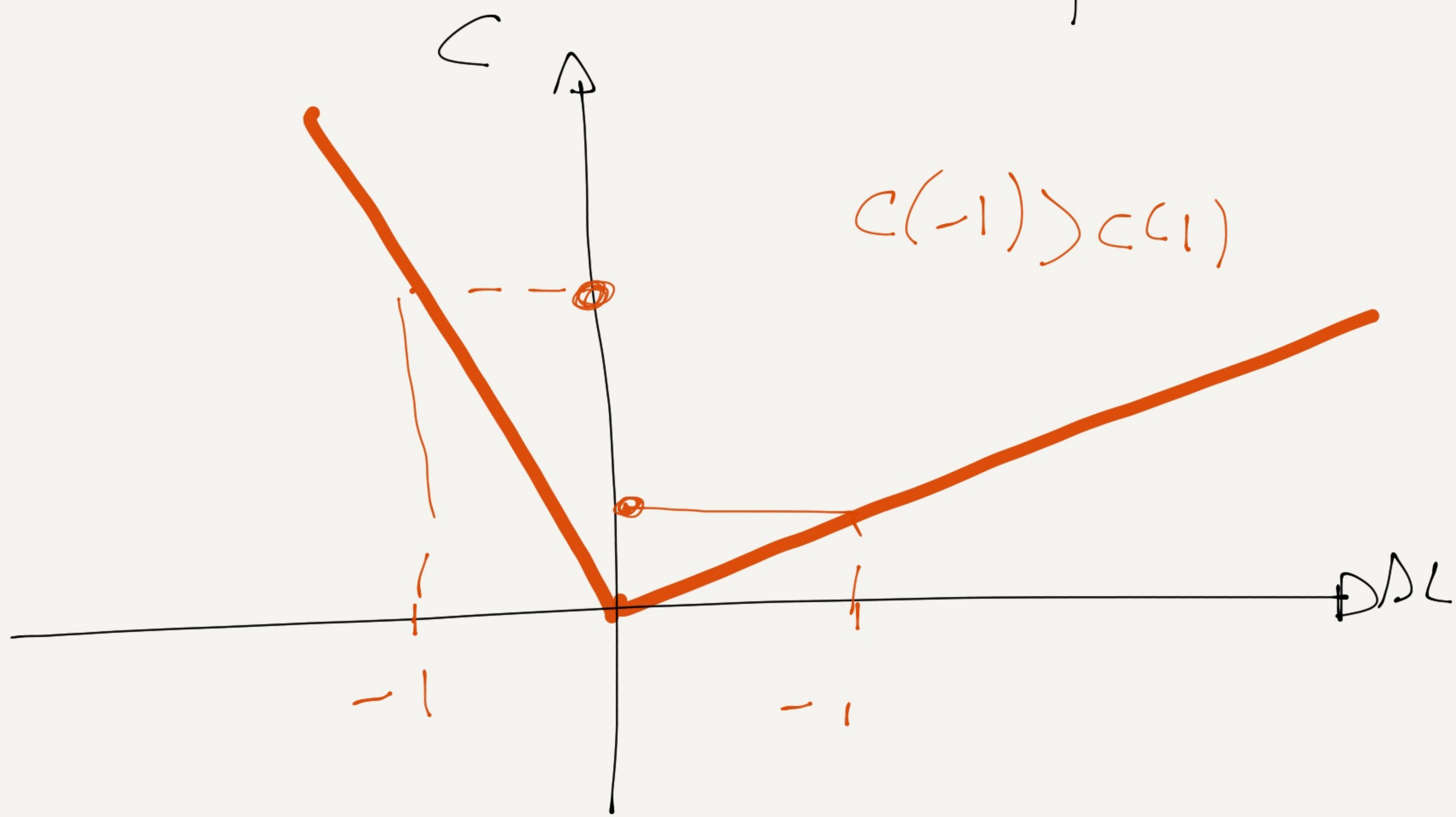
$c(0) = 0$



$c(-1) < c(1)$

Linear costs

$$C(\Delta L) = \begin{cases} b_H \Delta L & \text{if } \Delta L > 0 \\ b_F \Delta L & \text{if } \Delta L < 0 \end{cases}$$



Linear + Fixed costs

$$C(\Delta L) = \begin{cases} H + b_H \Delta L & \text{if } \Delta L > 0 \\ F + b_F \Delta L & \text{if } \Delta L < 0 \end{cases}$$